

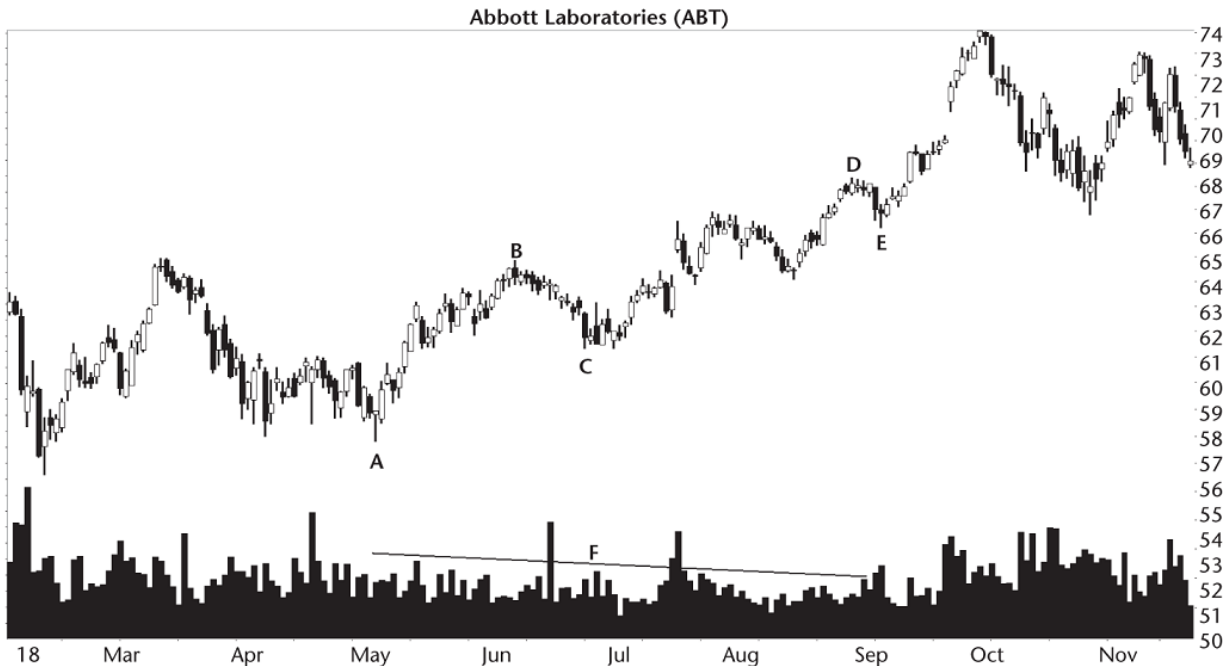


Figure 2.2 This bearish AB=CD pattern breaks out upward.

Let's talk about the Fibonacci ratios.

BC/AB retrace. Retrace BC compared to the height of BA is governed by the Fibonacci numbers listed in the table. Let's give your slide rule a workout and go through the math. The low at point A is 56.81, and the high at B is 63.85 for a height of 7.04. The low at C is 60.32. I tuned my software to find a turn within .01 (1%) of one of the numbers listed in the table, so we get $(63.85 - 60.32)/(63.85 - 56.81)$ or 50.1%. That value is almost exactly the 50% retrace (.5). So the ABC turn meets the guidelines.

DC/BC extension. If you invert the ratio found in the last step, you use it to find the price of D. In this example, we found the closest Fibonacci number to be .5, so we'd expect point D to be twice as far away. To put it another way, let's pick a point D where the ratio of DC to BC is 2. The high at point D is 67.36, so the equation is $(67.36 - 60.32)/(63.85 - 60.32)$ or 1.99 (or about 2).

We found turn ABC to obey one of the numbers listed in the table, and we also found point D using a Fibonacci extension (one of them listed in the table), so we found a valid AB=CD pattern.

In this example, price turns down at D, just like it's supposed to. However, the drop is brief (to E).